

Goyal estimates that about 10% working capital will be held up every month due to the inverted duty structure, and he would have to take on more debt, which would be expensive (anywhere between 9-12% rate of interest). As per a survey by SIDBI in May 2025, the MSME sector has an addressable credit gap of about 2.4% or ₹30 lakh crore. “The gap is higher in the services sector at 27%; it is estimated to be also higher at 35% for women-owned MSMEs, indicating a need for targeted policy actions.”

The survey also said that timely and adequate credit access was one

International Packagings, has been supplying corrugated boxes used in packaging to Amazon, PepsiCo and Britannia Industries. Jindal says raw materials, including kraft paper and corrugated paper boards, were at the 12% rate earlier but have been moved to the 18% slab. Simultaneously, the finished product has been moved from 12% to 5%, thereby creating a 13% differential which has to be claimed as a refund, blocking precious working capital.

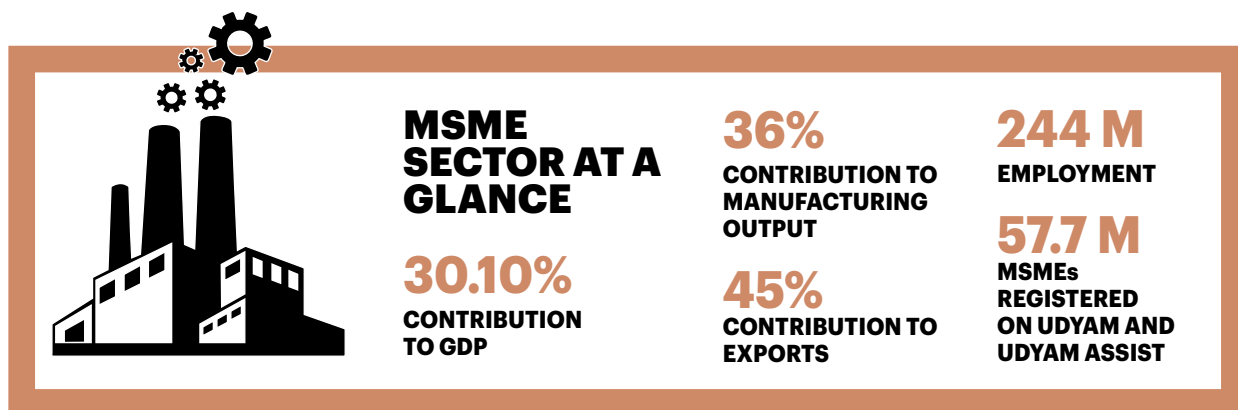
Goyal and Jindal are just two examples of the pain GST 2.0 has unleashed for India’s micro,

will lead to a consumption boost of ₹2 lakh crore.

But manufacturers say that for items where the input is now taxed more than the finished product, another reform is required. The problem of such MSMEs may be partially addressed if they get refunds of excess tax paid within seven to ten days. In the earlier GST regime, refunds sometimes took nearly 90 days, with another MSME sector representative pointing out that the delays were greater at the state government level.

A provision in GST 2.0 may help cut down refund delays, says

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of the key challenges despite the comprehensive policy initiatives in that regard. While borrowings from informal sources are minimal for small and medium enterprises at 3% and 2%, respectively, they are relatively significant at 12% for micro enterprises.

Goyal is reluctant to divulge his annual turnover but says if he produces 100 tonnes of finished material in a month, at ₹1,200 per tonne, the refund amount is ₹12 lakh, which could be held up with the government. Sonapat-based Raj Kamal Jindal faces a similar predicament. His company, Cargo

small and medium enterprises (MSMEs). Makers of bells and gongs, steel products, tractors and their parts and even sewing machines are facing similar problems due to inverted duties after the government decided to scrap the 12% and 28% slabs under GST 2.0.

Many daily-use items and some aspirational products have moved to lower tax slabs, thus making them cheaper for the end consumer. This is widely expected to lead to an overall consumption boom and boost the economy. Finance Minister Nirmala Sitharaman has said that GST rate rationalisation

Vivek Jalan, Partner at Tax Connect Advisory Services. “Under GST 2.0, there is a new amendment for sanctioning 90% of the refund amount within one week. This rule was always there but was rarely followed, with concerned officers taking their own sweet time, and sometimes refunds took 60 days to be processed. But now, the government has mandated that if the provisional refund is not issued within seven days, the officers must give a reason. This means lots of working capital for MSMEs will not remain stuck,” Jalan says. Whether the provision